MERITOCRATIC POLICY INITIATIVE

BUDGET & LEGAL JUSTIFICATION

The Washington Provenance-Backed Securities Act

Fiscal Analysis, Constitutional Authority, and Regulatory Pathway

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Document 2 of 7 — Meritocratic Policy Package

Table of Contents

PART I: BUDGET AND FISCAL ANALYSIS

Section 1: Implementation Cost Estimates

Section 2: Revenue Projections

Section 3: Net Fiscal Impact

PART II: LEGAL JUSTIFICATION

Section 4: Constitutional Authority

Section 5: Securities Law Analysis

Section 6: Intellectual Property Law Framework

Section 7: Data Sovereignty and Privacy

Section 8: Regulatory Sandbox Design

Section 9: Federal Coordination Strategy

Section 10: Risk Analysis and Mitigation

Executive Summary

This document provides a comprehensive budget analysis and legal justification for the proposed Washington Provenance-Backed Securities Act (the "Act"). Provenance-Backed Securities ("PBS") represent a novel asset class in which blockchain-verified records of individual expertise, performance data, and process knowledge are tokenized and made tradeable as regulated securities. This document—the second in a seven-part Meritocratic Policy Package—addresses two fundamental questions that legislators, regulators, and fiscal committees must resolve before enacting the legislation outlined in Document 1:

1. **Fiscal viability:** Can Washington State implement and sustain a PBS regulatory framework without imposing net costs on taxpayers?
2. **Legal authority:** Does Washington possess the constitutional and statutory authority to create this framework, and how does it interact with existing federal and state law?

The analysis concludes that (a) the Washington Provenance-Backed Securities Commission ("WPBSC") can achieve revenue self-sufficiency by Year 3 of operations, generating net positive fiscal returns by Year 5, and (b) Washington possesses well-established constitutional and statutory authority to enact this legislation, with clear precedent from peer-state innovation in Wyoming, Arizona, Colorado, and Utah.

Key Finding

Washington's unique tax structure—with no state income tax and heavy reliance on sales and business & occupation taxes—makes transaction-based PBS revenue an especially attractive avenue for revenue diversification. Estimated 10-year cumulative net revenue under the moderate scenario: **$127.4 million**.

PART I: BUDGET AND FISCAL ANALYSIS

Section 1. Implementation Cost Estimates

1.1 Benchmark Context: Washington Regulatory Agencies

To ground our cost estimates in reality, we benchmark against existing Washington State regulatory agencies. The Washington State Department of Financial Institutions ("DFI"), which regulates banks, credit unions, money transmitters, securities, and consumer lending, operates with approximately 270 employees and a biennial budget of roughly $74 million (FY 2023–2025). The DFI's Securities Division alone employs approximately 40 staff members and handles securities registration, broker-dealer licensing, and enforcement statewide. The WPBSC's initial scope is substantially narrower than the Securities Division's full mandate, justifying a leaner initial staffing model.

1.2 Organizational Structure and Staffing

The WPBSC would be established as an independent commission within the executive branch, analogous in structure to the Washington Utilities and Transportation Commission. The proposed staffing plan reflects a phased approach:

Year 1 Staffing (Launch Phase)

Position	FTE	Annual Salary	Total Compensation*
Executive Director	1	$185,000	$259,000
Commissioners (part-time)	3	$45,000 each	$171,000
Senior Securities Examiner	2	$125,000 each	$350,000
Blockchain/ Technology Specialist	2	$140,000 each	$392,000

Position	FTE	Annual Salary	Total Compensation*
Staff Attorney	2	$130,000 each	$364,000
Compliance Analyst	2	$95,000 each	$266,000
Policy & Outreach Coordinator	1	$90,000	$126,000
Administrative Support	2	$58,000 each	$162,400
Total Year 1 Staffing	**15**		**$2,090,400**

*Total compensation includes salary plus approximately 40% for benefits (health insurance, retirement, FICA), consistent with Washington State OFM compensation guidelines.

Full Implementation Staffing (Years 3–5)

As the PBS market matures, additional hires are projected: 2 additional compliance analysts, 1 additional technology specialist, 1 enforcement investigator, and 1 data analyst, bringing the total to approximately 20 FTE by Year 5.

1.3 Comprehensive Year 1 Budget

Budget Category	Year 1 Estimate	Notes
Personnel (15 FTE)	$2,090,400	See staffing table above
Office Space & Facilities	$360,000	Olympia or Tumwater location; 4,500 sq. ft. at ~$28/sq. ft. + build-out
Technology Infrastructure		
Blockchain node operation & oracle integration	$450,000	Node hardware, cloud infrastructure, API development
Compliance monitoring platform	$380,000	Transaction surveillance, AML/KYC systems
IT equipment &	$175,000	Workstations, secure

Budget Category	Year 1 Estimate	Notes
cybersecurity		servers, penetration testing
Regulatory Sandbox Development	$520,000	Testing environment, participant onboarding systems, reporting tools
Legal & Regulatory Development	$400,000	Rulemaking, WAC drafting, AG coordination, outside counsel
Public Education & Outreach	$250,000	Stakeholder engagement, website, educational materials, public comment processes
University Partnership Grants		
University of Washington — oracle research	$300,000	Performance oracle validation methodologies
Washington State University — agricultural PBS	$200,000	Agricultural provenance data integration
Contingency (10%)	$512,540	Standard contingency allocation
TOTAL YEAR 1 BUDGET	**$5,637,940**	

1.4 Multi-Year Budget Projections (Years 1–5)

Category	Year 1	Year 2	Year 3	Year 4	Year 5
Personnel	$2.09M	$2.45M	$2.82M	$3.05M	$3.21M
Technology	$1.01M	$0.65M	$0.55M	$0.50M	$0.50M
Sandbox Operations	$0.52M	$0.35M	$0.25M	$0.15M	$0.10M
Legal & Regulatory	$0.40M	$0.30M	$0.25M	$0.20M	$0.20M
Facilities	$0.36M	$0.24M	$0.25M	$0.26M	$0.27M
Outreach & Education	$0.25M	$0.20M	$0.15M	$0.15M	$0.15M

Category	Year 1	Year 2	Year 3	Year 4	Year 5
University Grants	$0.50M	$0.50M	$0.40M	$0.35M	$0.35M
Contingency	$0.51M	$0.47M	$0.47M	$0.47M	$0.48M
Total Annual Cost	**$5.64M**	**$5.16M**	**$5.14M**	**$5.13M**	**$5.26M**

Total five-year implementation cost: approximately **$26.33 million**. Technology costs decline after the initial capital investment in Year 1 as the commission transitions to maintenance-mode spending. Personnel costs rise modestly as staff is added to accommodate market growth. Sandbox costs decline as the program transitions participants to full regulatory status.

Section 2. Revenue Projections

2.1 Revenue Sources

The WPBSC would generate revenue from five primary sources, structured to ensure the commission operates on a self-sustaining, fee-funded basis consistent with Washington's existing regulatory agency funding models:

Revenue Source	Rate/Fee	Description
Transaction Fees	0.1%–0.5%	Assessed on the value of each PBS exchange transaction; tiered by volume (0.5% for transactions under $10,000; 0.25% for $10,000–$100,000; 0.1% for transactions exceeding $100,000)
Registration & Listing Fees	$2,500–$25,000	One-time fees for PBS issuers registering new securities; tiered by offering size and complexity

Revenue Source	Rate/Fee	Description
Exchange Operator Licenses	$50,000–$150,000	Annual licensing fees for entities operating PBS exchanges in Washington; fee scaled to transaction volume
Regulatory Examination Fees	$5,000–$15,000	Annual examination fees for registered PBS issuers and exchange operators; covers cost of compliance audits
Sandbox Participation Fees	$1,000–$5,000	Application and annual participation fees for regulatory sandbox entrants

2.2 Addressable Market

Washington State's economy provides a substantial addressable market for PBS adoption across multiple sectors:

- **Agriculture:** Washington's agricultural production totaled a record high of nearly $14.0 billion in 2023, encompassing over 300 different crops. PBS can tokenize agricultural provenance data—organic certifications, farming expertise, yield optimization methods, and supply chain verifications—creating a new value layer for the state's $14 billion agricultural sector.
- **Technology & Intellectual Property:** Washington is home to Microsoft, Amazon, Boeing, and thousands of technology firms. The state's technology sector generates hundreds of billions in economic activity. PBS offers a mechanism for tokenizing the documented expertise and process knowledge of technology professionals—an asset class currently unprotected and untradeable.
- **Creative Industries:** Washington's music, film, gaming, and design sectors produce significant intangible value. PBS can enable creators to tokenize their documented creative methodologies, production expertise, and collaborative track records.

- **Advanced Manufacturing:** Boeing, Blue Origin, and Washington's aerospace supply chain represent concentrated expertise suitable for PBS tokenization.

Revenue Context: Washington's Tax Structure

Washington is one of only seven states with no state income tax. The state relies primarily on sales tax, Business & Occupation (B&O) tax, and property tax. Recent tax policy changes—including a 7% capital gains tax upheld by the Washington Supreme Court in 2023 and significant B&O tax increases in 2025—have highlighted the need for revenue diversification. PBS transaction-based fees represent a novel, non-regressive revenue stream tied directly to economic innovation rather than consumption or payroll.

2.3 Revenue Scenarios (5-Year and 10-Year Horizons)

Scenario	Year 1	Year 2	Year 3	Year 5	Year 10	10-Yr Total
Conservative	$0.8M	$1.9M	$3.4M	$6.2M	$12.5M	$62.7M
Moderate	$1.2M	$3.1M	$5.8M	$11.4M	$24.6M	$127.4M
Aggressive	$1.8M	$5.2M	$10.5M	$22.8M	$51.3M	$268.9M

Assumptions by scenario:

- **Conservative:** 15 PBS issuers in Year 1 growing to 120 by Year 5; $50M in annual transaction volume by Year 2 growing to $800M by Year 10; 1 licensed exchange operator in Years 1–3, 3 by Year 5. Assumes significant regulatory friction and slow market adoption.

- **Moderate:** 30 PBS issuers in Year 1 growing to 250 by Year 5; $120M in annual transaction volume by Year 2 growing to $2.5B by Year 10; 2 licensed exchange operators by Year 3, 5 by Year 7. Assumes steady adoption with strong agricultural sector uptake.
- **Aggressive:** 50 PBS issuers in Year 1 growing to 500 by Year 5; $300M in annual transaction volume by Year 2 growing to $6B by Year 10; 4 licensed exchange operators by Year 3. Assumes rapid adoption catalyzed by federal interest and technology sector participation.

Section 3. Net Fiscal Impact

3.1 Cost-Revenue Analysis

Metric	Year 1	Year 2	Year 3	Year 5	5-Yr Total
Total Costs	$5.64M	$5.16M	$5.14M	$5.26M	$26.33M
Moderate Revenue	$1.20M	$3.10M	$5.80M	$11.40M	$31.04M
Net Impact (Moderate)	($4.44M)	($2.06M)	+$0.66M	+$6.14M	+$4.71M

Under the moderate scenario, the WPBSC achieves **operational self-sufficiency in Year 3** and generates cumulative net positive revenue by the end of Year 4. The initial deficit of approximately $6.5 million (Years 1–2) would require startup funding from the state general fund or a dedicated appropriation, repaid through fee revenue once the commission reaches self-sustaining operations.

3.2 Secondary Fiscal Benefits

Beyond direct fee revenue, the PBS framework generates significant secondary fiscal benefits for Washington State:

- **Job Creation and Fiscal Multiplier:** The establishment of a PBS ecosystem is projected to create 200–500 direct jobs in fintech, compliance, legal

services, and blockchain engineering by Year 5. Using the Bureau of Economic Analysis regional fiscal multiplier of 1.8x for professional services, total employment impact reaches 360–900 jobs, generating an estimated $8M–$20M in additional B&O tax revenue over the five-year period.

- **Exchange Headquarters Attraction:** Washington's first-mover status as a PBS-regulatory jurisdiction would position the state to attract PBS exchange operators and fintech companies. Each exchange headquarters is estimated to bring 50–150 high-paying technology and compliance jobs.
- **University Research Funding:** Partnership grants to the University of Washington and Washington State University would leverage additional federal research funding (estimated 2:1 match ratio), channeling approximately $1.5M in additional research investment into the state by Year 5.
- **Innovation Ecosystem:** PBS infrastructure creates network effects that benefit adjacent industries—legal services, auditing, data analytics, and agricultural technology—generating additional taxable economic activity.

3.3 Comparison to Peer-State Innovation Investments

State Program	Investment	Outcome
Wyoming — Blockchain/DAO Laws (2018–2021)	~$3M	Attracted 100+ blockchain companies; established Wyoming as a national leader in digital asset regulation
Arizona — FinTech Sandbox (2018)	~$1.5M	Launched multiple fintech innovations; model adopted by 10+ other states
Colorado — Digital Token Act (2019)	~$2M	Created regulatory clarity for token issuers; attracted fintech investment

State Program	Investment	Outcome
Washington — PBS Act (proposed)	**$5.64M (Y1)**	**First-mover advantage in provenance-backed securities; projected net-positive by Year 3**

Washington's proposed investment is proportional to its larger economy and broader regulatory ambition but follows the same proven model of targeted state investment in regulatory innovation yielding outsized economic returns.

PART II: LEGAL JUSTIFICATION

Section 4. Constitutional Authority

4.1 Washington State Police Power and Securities Regulatory Authority

Washington State possesses broad constitutional authority to regulate securities markets within its borders. This authority derives from multiple sources:

- **State Police Power:** Under the Tenth Amendment to the U.S. Constitution, powers not delegated to the federal government are reserved to the states. Securities regulation has historically been a concurrent power exercised by both federal and state governments. Washington's authority to protect its citizens from securities fraud and to regulate securities markets is well-established and has been continuously exercised since the passage of the original Washington Securities Act in 1959.
- **Washington State Constitution, Article I, Section 12:** Guarantees equal protection and supports the state's authority to create regulatory frameworks that apply uniformly to market participants.

- **Washington State Constitution, Article XII, Section 22:** Grants the legislature broad authority to regulate corporations and business entities operating within the state.

4.2 Washington Securities Act (RCW 21.20)

The existing Washington Securities Act, codified at RCW 21.20, provides a comprehensive framework for securities regulation that directly supports the PBS Act:

- **RCW 21.20.005:** Establishes the definition of "security" broadly, including "investment contracts"—a definition capacious enough to encompass PBS without statutory amendment.
- **RCW 21.20.040:** Authorizes the state securities administrator to require registration of securities offered or sold in Washington.
- **RCW 21.20.110:** Grants rulemaking authority to the Director of the Department of Financial Institutions to implement the Securities Act, providing an existing administrative mechanism for PBS-specific regulations.
- **RCW 21.20.450:** Provides for coordination with other state regulatory agencies, enabling the WPBSC to operate in concert with the DFI.

The PBS Act would amend and supplement RCW 21.20 to create a dedicated regulatory pathway for provenance-backed securities while preserving existing investor protections.

4.3 Commerce Clause Considerations

The Commerce Clause of the U.S. Constitution (Article I, Section 8, Clause 3) grants Congress the power to regulate interstate commerce and imposes limitations on state regulation that unduly burdens or discriminates against interstate commerce. Analysis:

- **Intrastate Focus:** The PBS Act as proposed in Document 1 is designed primarily to regulate intrastate PBS transactions—i.e., transactions where both issuer and purchaser are Washington residents and the transaction

occurs on a Washington-licensed exchange. This intrastate focus significantly reduces Commerce Clause exposure.

- **Non-Discrimination:** The Act does not discriminate against out-of-state participants; any entity may register as a PBS issuer or exchange operator in Washington, provided it meets regulatory requirements.
- **Pike Balancing Test:** Under *Pike v. Bruce Church, Inc.*, 397 U.S. 137 (1970), a state regulation that has incidental effects on interstate commerce is permissible unless the burden on interstate commerce is "clearly excessive in relation to the putative local benefits." The PBS Act's investor protection and innovation objectives constitute substantial local benefits that outweigh any incidental interstate effects.

4.4 Tenth Amendment Reserved Powers

The Tenth Amendment expressly reserves to the states those powers not delegated to the federal government. Securities regulation is a concurrent power—the Securities Act of 1933 and the Securities Exchange Act of 1934 explicitly preserved state authority through savings clauses. The National Securities Markets Improvement Act of 1996 ("NSMIA") preempted certain state registration requirements for "covered securities" but preserved state anti-fraud authority and jurisdiction over intrastate offerings.

The PBS regulatory sandbox operates squarely within this reserved power, as:

3. Sandbox transactions are limited to intrastate participants during the testing phase.
4. The sandbox regulates an asset class (provenance-backed expertise) not currently addressed by federal regulation.
5. State experimental regulation in emerging markets is a well-recognized exercise of police power.

4.5 Peer-State Precedent

Established Precedent: State Blockchain and FinTech Legislation

Several states have successfully enacted innovative financial technology legislation that exercises similar constitutional authority:

- **Wyoming DAO LLC Law (2021):** Enacted as Wy. Stat. § 17-31-101 et seq., this first-of-its-kind law recognized decentralized autonomous organizations as a new form of limited liability company. Effective July 1, 2021, it has withstood legal scrutiny and attracted over 100 blockchain companies to Wyoming.
- **Colorado Digital Token Act (2019):** Created an exemption from state securities registration for certain digital tokens that serve a primarily consumptive purpose, demonstrating state authority to define the boundaries of securities regulation within their jurisdictions.
- **Arizona FinTech Sandbox (2018):** Enacted under A.R.S. §§ 41-5601 to 41-5612, Arizona became the first state to establish a regulatory sandbox for fintech products, administered by the Attorney General's Office. The program continues to accept applications and has served as a model for sandbox legislation in over 10 states.
- **Utah Regulatory Sandbox (2019):** Expanded beyond fintech to include legal services innovation, demonstrating the breadth of state sandbox authority.

Section 5. Securities Law Analysis

5.1 The Howey Test: Four-Prong Analysis for PBS

The foundational question in securities law is whether provenance-backed securities constitute "investment contracts" under the test established by the U.S. Supreme Court in *SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946). Under *Howey*, a transaction qualifies as an investment contract when it involves: (1) an investment of money,

(2) in a common enterprise, (3) with a reasonable expectation of profits, (4) derived from the efforts of others. All four prongs must be satisfied.

Howey Prong	Analysis for PBS	Likely Satisfied?	Key Considerations
1. Investment of Money	Purchasers of PBS tokens exchange money (fiat or cryptocurrency) for a tokenized interest in a professional's verified performance record. This constitutes an investment of value regardless of the medium of exchange.	**Yes**	Broadly interpreted; satisfied in virtually all commercial transactions.
2. Common Enterprise	PBS involve "horizontal commonality" to the extent that multiple investors purchase tokens backed by the same professional's provenance data, with returns pooled or correlated. "Vertical commonality" exists where the PBS issuer's or professional's fortunes are intertwined with investor returns.	**Likely Yes**	Circuit split on horizontal vs. vertical commonality; design PBS to satisfy both standards.
3. Expectation of Profits	Investors purchase PBS with the expectation that the value of the token will appreciate as the underlying	**Yes**	Distinguishable from purely consumptive tokens; PBS investors expect capital appreciation.

Howey Prong	Analysis for PBS	Likely Satisfied?	Key Considerations
	professional's verified expertise grows, new performance data is added to the provenance chain, or market demand for verified expertise increases.		
4. Efforts of Others	The value of PBS derives primarily from the ongoing professional performance of the underlying individual, the oracle-verified data feeds that update the provenance record, and the exchange infrastructure maintained by third parties. Investors are passive holders.	**Yes**	Passive investment in another's expertise is a classic "efforts of others" scenario.

5.2 Conclusion: PBS Likely Qualify as Securities

Based on the four-prong *Howey* analysis, provenance-backed securities **likely qualify as investment contracts and therefore as securities under both federal law (Securities Act of 1933, § 2(a)(1)) and Washington State law (RCW 21.20.005)**. This conclusion is consistent with the SEC's analysis of digital assets in its 2017 DAO Report, its 2019 Framework for "Investment Contract" Analysis of Digital Assets, and subsequent enforcement actions.

Strategic Implication

The determination that PBS are likely securities is a **feature, not a bug**. By designing the PBS framework for securities law compliance from inception, Washington avoids the regulatory uncertainty and enforcement risk that plagued early cryptocurrency token offerings. Compliance-by-design provides investor protection, market legitimacy, and regulatory durability.

5.3 Strategy: Design for Compliance, Not Circumvention

The Meritocratic Policy Package deliberately embraces securities classification. The PBS Act is structured to:

6. Register PBS as securities under Washington State law (RCW 21.20).
7. Require full disclosure by PBS issuers, including provenance data verification methodologies, oracle reliability metrics, and risk factors.
8. Mandate suitability and know-your-customer requirements for PBS exchange operators.
9. Establish anti-fraud provisions specifically tailored to provenance data manipulation.
10. Create a clear path for dual federal-state registration as the market matures.

5.4 Federal Exemption Pathways

During the initial sandbox and early-market phases, PBS offerings may qualify for federal registration exemptions that permit state-level regulation:

- **Regulation D (Rule 506(b) and 506(c)):** Private placement exemptions for offerings to accredited investors. Suitable for initial PBS offerings by high-value professionals to sophisticated investors. No cap on offering size. Limited to accredited investors under 506(c) with general solicitation, or 35 non-accredited investors under 506(b) without general solicitation.

- **Regulation A+ (Tier 1 and Tier 2):** Permits offerings up to $20 million (Tier 1) or $75 million (Tier 2) per year with simplified SEC qualification. Tier 1 requires state Blue Sky law compliance; Tier 2 preempts state registration (but not anti-fraud authority). Ideal for mid-stage PBS market development.
- **Regulation Crowdfunding (Reg CF):** Permits offerings up to $5 million per year through registered intermediaries. Suitable for democratized PBS offerings by emerging professionals to retail investors.
- **Intrastate Offering Exemption (Rule 147/147A):** Federal exemption for securities offered and sold exclusively within a single state. Particularly relevant to the PBS sandbox phase, where all transactions are limited to Washington residents.

5.5 State Blue Sky Law Compliance

The PBS Act would create a dedicated registration pathway under Washington's Blue Sky law (RCW 21.20) for provenance-backed securities. This pathway would include:

- A PBS-specific registration statement, including provenance methodology disclosures, oracle verification standards, and performance data audit requirements.
- Coordination registration for PBS offerings that qualify under Regulation A+ Tier 1.
- Merit review authority for the WPBSC to evaluate the substantive fairness and commercial reasonableness of PBS offerings.
- Exemption from state registration for PBS offered exclusively to accredited investors under Regulation D, consistent with existing RCW 21.20.320 exemptions.

Section 6. Intellectual Property Law Framework

6.1 The IP Gap: Unprotected Intangible Assets

The existing intellectual property regime in the United States—federal patent, copyright, and trademark law—was designed for an industrial and information economy. It fails to protect the most economically valuable category of intangible assets in the modern knowledge economy:

IP Regime	What It Protects	What It Does NOT Protect (the PBS Gap)
Patent Law (35 U.S.C.)	Novel inventions, processes, machines, compositions of matter	Accumulated expertise, tacit knowledge, problem-solving methodologies not reduced to patentable inventions; professional performance histories
Copyright Law (17 U.S.C.)	Original works of authorship fixed in tangible media	Unwritten expertise, process knowledge, performance data, professional reputation as a tradeable asset; ideas, methods, and systems (17 U.S.C. § 102(b))
Trademark Law (15 U.S.C. § 1051 et seq.)	Brand names, logos, distinctive marks used in commerce	Individual professional provenance beyond brand identity; documented performance trajectories; verified expertise data
Trade Secret Law (18 U.S.C. § 1836; RCW 19.108)	Confidential business information with independent economic value	Trade secrets must be kept secret; PBS involves making expertise data transparent and tradeable—fundamentally incompatible with secrecy requirements

6.2 Proposed Expansion: Provenance-Documented Intangible Assets

The PBS Act proposes that Washington State recognize a new category of protectable property: **provenance-documented intangible assets** ("PDIAs"). A PDIA would be defined as:

> *A verified, blockchain-recorded compilation of an individual's professional performance data, expertise credentials, process knowledge, and contribution history that (a) has been authenticated through an approved oracle verification system, (b) has independent economic value by virtue of its verification and provenance chain, and (c) is identified by the owner as a tradeable asset through registration with the WPBSC.*

This category fills the gap between trade secrets (which require secrecy) and traditional IP (which requires novelty, originality, or distinctiveness) by creating protectable property rights in **verified transparency**—the documented, authenticated record of what a person can do and has done.

6.3 Washington State Constitutional Basis

Washington's Constitution provides two key foundations for PDIA recognition:

- **Article I, Section 3 (Personal Rights):** "No person shall be deprived of life, liberty, or property, without due process of law." By recognizing PDIAs as property, Washington extends due process protections to this new asset class, including protections against unauthorized appropriation or manipulation of provenance data.
- **Article I, Section 16 (Eminent Domain):** Establishes that private property shall not be taken for public use without just compensation. Recognition of PDIAs as property ensures that the state cannot commandeer or compel

disclosure of an individual's provenance data without compensation—a critical protection for worker data sovereignty.

6.4 Federal IP Preemption Analysis

The critical legal question is whether federal IP law preempts Washington's recognition of PDIAs. Analysis indicates preemption risk is low:

- **Copyright Preemption (§ 301 of the Copyright Act):** Federal copyright law preempts state laws that grant rights equivalent to copyright in works of authorship fixed in tangible media. PDIAs are not "works of authorship"—they are compilations of performance data and verified credentials. The rights granted (tradeable securities interests) are not "equivalent" to copyright's exclusive rights (reproduction, distribution, display, etc.). Analysis supports non-preemption.
- **Patent Preemption:** Federal patent law does not preempt state trade secret laws (*Kewanee Oil Co. v. Bicron Corp.*, 416 U.S. 470 (1974)). PDIAs are further removed from patent subject matter than trade secrets, making preemption unlikely.
- **Supremacy Clause:** No federal statute currently creates or occupies the regulatory field of provenance-documented professional expertise as a property right. Absent express preemption or field preemption, Washington may legislate in this space.

6.5 Washington Uniform Trade Secrets Act as Model

The Washington Uniform Trade Secrets Act (RCW 19.108), enacted in 1981, provides a useful structural model for PDIA legislation. Just as the UTSA created a state-law property right in confidential business information, the PBS Act would create a state-law property right in verified, transparent professional data. Key structural parallels include: definition of the protected asset, enumeration of misappropriation, remedies (injunctive relief, damages, attorney's fees), and statute of limitations.

Section 7. Data Sovereignty and Privacy

7.1 Washington Privacy Act Considerations

Washington's evolving privacy law landscape provides both a framework and a set of constraints for PBS data handling. PBS necessarily involve the collection, verification, storage, and transmission of personal professional data. The PBS Act must be designed to comply with—and where appropriate, exceed—existing privacy protections:

- **Washington Privacy Act (RCW 19.373 et seq.):** While Washington's comprehensive consumer privacy bill has had a complex legislative history, the state has enacted sector-specific privacy protections that constrain PBS data practices. The WPBSC must ensure that PBS data collection is purpose-limited, transparent, and subject to consumer consent.
- **Data Minimization:** PBS oracle systems should collect only the professional performance data necessary for provenance verification, not ancillary personal data (e.g., health information, location data beyond workplace, personal communications).
- **Purpose Limitation:** Provenance data collected for PBS verification may not be repurposed for advertising, employment discrimination, credit scoring, or other secondary uses without explicit consent.

7.2 GDPR Parallels for Data-Backed PBS

If PBS are offered to or involve data from European Union residents, the General Data Protection Regulation (EU 2016/679) imposes additional requirements. More importantly, GDPR principles provide a best-practices framework for PBS data governance:

- **Right to Erasure (Article 17):** Must be reconciled with blockchain immutability. PBS architecture should employ off-chain storage for personal

data with on-chain hashes, enabling data deletion while preserving provenance verification.

- **Data Portability (Article 20):** Individuals should be able to export their provenance data in a standardized, machine-readable format—aligning with the PBS principle that workers own their data.
- **Lawful Basis for Processing (Article 6):** PBS data processing should be grounded in explicit consent (Article 6(1)(a)) or contractual necessity (Article 6(1)(b)), not legitimate interest alone.

7.3 Worker Data Ownership Rights

A foundational principle of the PBS framework is that **the individual whose performance is documented owns the provenance data**. The PBS Act establishes:

11. **Data Ownership:** Provenance data generated by or about a worker's professional performance is the property of that worker, regardless of whether the data was generated during employment or contracted work.
12. **Consent Requirement:** No PBS may be issued based on an individual's provenance data without that individual's informed, written consent, which must be revocable.
13. **Revenue Sharing:** The underlying professional whose data backs a PBS must receive a minimum percentage of transaction revenue from secondary market trading of their PBS tokens.
14. **Access and Correction:** Individuals have the right to access, review, and request correction of provenance data associated with their PBS.

7.4 My Health My Data Act Precedent

Washington's My Health My Data Act (RCW 19.373), signed into law on April 27, 2023, and effective beginning July 23, 2023, establishes a powerful precedent for individual data ownership in Washington:

- The Act requires affirmative consent before collecting or sharing consumer health data—going beyond HIPAA's limited coverage to encompass data collected by apps, websites, and non-traditional health entities.
- It grants consumers the right to have their health data deleted.
- It prohibits the sale of consumer health data without valid, revocable authorization signed by the consumer.
- It establishes a private right of action under the Washington Consumer Protection Act (RCW 19.86), providing individual enforcement mechanisms.

The PBS Act's worker data ownership provisions adopt the same structural approach: affirmative consent, deletion rights, anti-sale protections, and private enforcement. The My Health My Data Act demonstrates that the Washington Legislature has both the will and the constitutional authority to create strong individual data ownership rights, even in domains traditionally dominated by employer or platform control.

Section 8. Regulatory Sandbox Design

8.1 Legal Authority

The WPBSC regulatory sandbox would be established by statute as a new chapter of Title 21 RCW, with authority derived from:

- The Legislature's plenary authority to regulate securities under the state police power.
- Existing rulemaking authority under RCW 21.20.110, supplemented by new PBS-specific statutory authority.
- Precedent from Arizona (A.R.S. §§ 41-5601–41-5612), where the FinTech Sandbox has operated successfully since 2018 under the oversight of the Attorney General's Office.

8.2 Sandbox Parameters

Parameter	Specification
Duration	24 months initial period, with a single 12-month extension upon application and WPBSC approval. Maximum total sandbox period: 36 months.
Participants	Maximum 25 sandbox participants at any time during the initial cohort; subsequent cohorts may be expanded by WPBSC rule. Participants must be organized under Washington law or registered to do business in Washington.
Transaction Limits	Individual investor cap of $5,000 per PBS offering during sandbox. Aggregate offering cap of $1 million per sandbox participant per 12-month period.
Geographic Scope	Intrastate only: all sandbox participants, issuers, and investors must be Washington residents or entities organized under Washington law.
Reporting Requirements	Quarterly reports to the WPBSC including: transaction volume and value, investor demographics, complaint data, technology performance metrics, and oracle accuracy audits.
Application Fee	$1,000 non-refundable application fee; $5,000 annual participation fee.

8.3 Consumer and Investor Protection Safeguards

The sandbox does not eliminate investor protection—it calibrates it to the experimental context:

15. **Mandatory Disclosure:** All sandbox participants must provide investors with a standardized risk disclosure document, prominently stating that the PBS is offered under a regulatory sandbox and carries additional risk.

16. **Investor Suitability:** Sandbox participants must verify that investors meet minimum suitability standards (income, net worth, or investment experience thresholds).
17. **Anti-Fraud Provisions:** Full application of Washington's anti-fraud statutes (RCW 21.20.010) to sandbox transactions. No sandbox exemption from fraud liability.
18. **Complaint Mechanism:** The WPBSC must maintain a dedicated consumer complaint mechanism for sandbox-related issues, with a 10-business-day response requirement.
19. **Bonding Requirement:** Sandbox participants must post a surety bond of not less than $50,000, scaled to transaction volume, to protect investors against insolvency.
20. **Emergency Suspension:** The WPBSC retains authority to suspend any sandbox participant's authorization immediately upon finding of fraud, imminent investor harm, or material regulatory violation.

8.4 Graduation Criteria

Sandbox participants may apply for full PBS registration upon demonstrating:

- Successful operation for a minimum of 18 months within the sandbox.
- Zero unresolved material regulatory violations.
- Demonstrated oracle accuracy rates of 95% or higher for provenance data verification.
- Investor complaint rate below 2% of total transaction count.
- Audited financial statements demonstrating adequate capitalization.
- Submission of a comprehensive compliance plan for full-market operation.

8.5 Peer-State Sandbox Precedent

Jurisdiction	Year	Scope	Key Design Features
Arizona	2018	Financial products & services	AG-administered; 24-month duration; 10,000 customer cap; model for national adoption
Utah	2019	Legal services & fintech	Expanded beyond fintech; allows non-lawyer legal services; ongoing monitoring by Office of Legal Services Innovation
Wyoming	2019	Fintech & digital assets	Complements DAO LLC law; special-purpose depository institution charter for digital asset custody
UK (FCA)	2016	All financial services	International gold standard; 6-month cohorts; over 800 applications since inception; post-sandbox authorization pathway
Washington (Proposed)	**2027**	**Provenance-backed securities**	**Purpose-built for PBS; oracle validation requirements; university research integration; 24+12 month duration**

Section 9. Federal Coordination Strategy

9.1 Dual Federal-State Regulatory Structure

Securities regulation in the United States operates under a dual federal-state system established by the Securities Act of 1933, the Securities Exchange Act of 1934, and the National Securities Markets Improvement Act of 1996. The PBS Act is designed to operate within this dual structure:

- **State Authority (Primary, Sandbox Phase):** During the sandbox and early-market phases, PBS regulation is primarily a state function. Washington regulates PBS registration, exchange licensing, and investor protection under RCW 21.20 as amended by the PBS Act.
- **Federal Authority (Concurrent, Post-Sandbox):** As PBS offerings grow beyond intrastate scope or exceed Regulation D/A+/CF exemption thresholds, federal SEC registration becomes necessary. The PBS Act includes provisions for coordinated federal-state oversight.

9.2 SEC, CFTC, and FinCEN Coordination

The WPBSC's federal coordination strategy encompasses three primary federal agencies:

Agency	Jurisdiction	Coordination Mechanism
SEC	Securities registration, disclosure, anti-fraud, exchange regulation	Early engagement through SEC's Strategic Hub for Innovation and Financial Technology ("FinHub"); no-action letter requests for sandbox participants; coordinated examination protocols
CFTC	Derivatives, futures, and	Monitoring for PBS

Agency	Jurisdiction	Coordination Mechanism
	swaps (if PBS derivatives emerge)	derivative products; CFTC LabCFTC engagement for novel product analysis; mutual referral agreements
FinCEN	Anti-money laundering (AML), counter-terrorism financing (CTF), Bank Secrecy Act compliance	PBS exchange operators registered as money services businesses (MSBs) where required; SAR filing protocols; integration with FinCEN's blockchain analytics capabilities

9.3 Path from State Sandbox to Federal Legislation

The Meritocratic Policy Package envisions a deliberate progression from state experimentation to federal adoption:

21. **Phase 1 (Years 1–3):** Washington sandbox operates under state authority with federal exemptions (Reg D, Rule 147). WPBSC provides data and lessons to federal regulators.
22. **Phase 2 (Years 3–5):** Successful sandbox graduates operate under full Washington State registration. WPBSC publishes regulatory model for other states. Multi-state PBS compact negotiations begin.
23. **Phase 3 (Years 5–7):** Federal PBS legislation introduced (detailed in Document 4 of this Package). Washington's regulatory model serves as the template for federal standards. SEC rulemaking incorporates PBS-specific registration and disclosure requirements.

This phased approach follows the proven model of state-level innovation preceding federal adoption, as demonstrated by Wyoming's blockchain legislation influencing federal digital asset discussions and Arizona's FinTech Sandbox model being adopted by over 10 other states.

Section 10. Risk Analysis and Mitigation

10.1 Legal Challenge Risks

Risk Category	Likelihood	Description	Mitigation Strategy
Federal Preemption Challenge	Medium	Industry or federal regulators challenge Washington's authority to create a new securities category, arguing that federal securities law occupies the field.	Design PBS Act within existing Blue Sky law authority; limit initial scope to intrastate transactions; engage SEC FinHub proactively; build legislative record demonstrating non-preempted state police power.
Industry Opposition	Medium-High	Established financial services industry challenges PBS as competitive threat or regulatory burden; lobbying to block or weaken legislation.	Build coalition with technology sector, agricultural stakeholders, and university research community; demonstrate PBS complements rather than displaces traditional securities; include industry advisory committee in WPBSC structure.
Constitutional Challenge (State)	Low	Challenge under Washington Constitution that PBS Act exceeds legislative authority or violates equal	Ground legislation in well-established police power and securities regulatory authority; ensure uniform

Risk Category	Likelihood	Description	Mitigation Strategy
		protection.	application to all market participants; provide robust due process in WPBSC proceedings.
Commerce Clause Challenge	Low-Medium	Challenge that intrastate PBS restrictions unduly burden interstate commerce.	Limit intrastate requirement to sandbox phase only; design full-market regulations to be non-discriminatory; demonstrate substantial local benefits under Pike balancing test.
Data Privacy Litigation	Medium	Workers or consumers challenge PBS data practices under Washington privacy statutes or federal law.	Embed robust consent requirements; adopt My Health My Data Act structural protections; include private right of action for data misuse; require data impact assessments for PBS issuers.
IP Preemption Challenge	Low-Medium	Challenge that PDIA recognition is preempted by federal copyright or patent law.	Clearly distinguish PDIAs from copyrightable works and patentable inventions; rely on *Kewanee Oil* precedent for state IP innovation; structure PDIA rights as sui generis, not equivalent to copyright.

10.2 Insurance and Bonding Requirements

The PBS Act imposes the following financial responsibility requirements on exchange operators:

- **Surety Bond:** Minimum $500,000 surety bond for exchange operators, scaled to 5% of average daily transaction volume for operators handling more than $10 million annually.
- **Professional Liability Insurance:** Minimum $2 million errors and omissions coverage for exchange operators and their officers.
- **Cyber Insurance:** Minimum $5 million cyber liability coverage, reflecting the technology-intensive nature of PBS operations and blockchain infrastructure.
- **Fidelity Bond:** Coverage for all employees and officers of exchange operators who have access to investor funds or provenance data systems.

10.3 Investor Protection Framework

The PBS Act establishes comprehensive investor protections modeled on existing securities law best practices:

Disclosure Requirements

- **Provenance Disclosure Document:** A standardized document (analogous to a prospectus) that must be provided to all PBS investors, disclosing: the identity and qualifications of the underlying professional, the methodology used to verify provenance data, oracle reliability metrics, risk factors specific to the PBS, fee structures, and conflicts of interest.
- **Ongoing Reporting:** Quarterly provenance data updates and annual audited financial statements for PBS issuers above minimum thresholds.
- **Material Event Disclosure:** Prompt disclosure of material changes to provenance data, oracle systems, or the underlying professional's status.

Suitability Standards

- Exchange operators must establish and enforce suitability standards ensuring that PBS investments are appropriate for each investor's financial situation, investment experience, and risk tolerance.
- Enhanced suitability requirements for non-accredited investors, including maximum portfolio allocation limits for PBS holdings.

Anti-Fraud Provisions

- **Provenance Data Fraud:** It shall be unlawful for any person to fabricate, alter, or cause to be falsely reported any provenance data used in connection with a PBS offering. Penalty: Class B felony under Washington law, plus civil liability for investor losses.
- **Oracle Manipulation:** It shall be unlawful for any person to manipulate, corrupt, or interfere with oracle data feeds that verify PBS provenance data. Penalty: Class C felony plus civil penalties up to $1 million per violation.
- **Market Manipulation:** Application of existing Washington anti-manipulation statutes (RCW 21.20.010) to PBS exchange trading, supplemented by PBS-specific provisions addressing blockchain-based manipulation techniques (wash trading, spoofing, layering).

Critical Risk Acknowledgment

The PBS framework represents a novel regulatory construct without direct precedent. While this document identifies mitigation strategies for known risks, unknown risks inherent to first-of-its-kind regulation may emerge. The sandbox design is specifically intended to surface and address such risks in a controlled environment before full market deployment. The WPBSC must be empowered with flexible rulemaking authority to respond to emerging risks on an expedited basis.

Conclusion

This Budget and Legal Justification demonstrates that the Washington Provenance-Backed Securities Act is both fiscally viable and legally sound. Washington possesses well-established constitutional and statutory authority to enact this legislation, with clear precedent from peer-state innovation in financial technology regulation. The projected fiscal path—self-sufficiency by Year 3 and net positive cumulative revenue by Year 5—is conservative and achievable given Washington's substantial addressable market across agriculture, technology, and creative industries.

The legal analysis confirms that PBS likely qualify as securities under the *Howey* test—and the Act is deliberately designed to embrace that classification, providing full investor protection through compliance rather than circumvention. The regulatory sandbox provides a controlled environment for surfacing and addressing the unknown risks inherent to first-of-its-kind regulation, while the phased federal coordination strategy creates a clear path from state experimentation to national adoption.

The next document in this series, **Document 3: Technical Architecture and Oracle Specification**, details the blockchain infrastructure, oracle design, and data governance systems required to implement the PBS framework described in Documents 1 and 2.

Document Series — Meritocratic Policy Package

Document 1: The Washington Provenance-Backed Securities Act (Legislative Text)
Document 2: Budget & Legal Justification (This Document)
Document 3: Technical Architecture and Oracle Specification
Document 4: Federal Legislation Proposal
Document 5: Economic Impact Analysis
Document 6: Stakeholder Engagement Strategy
Document 7: Implementation Timeline and Roadmap